SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

APPLICABILITY N

Pursuant to California Public Utilities Commission (CPUC) Decision (D.) 22-12-056 and California Public Utilities Code (PU Code) Section 2827.1, this schedule is applicable to a residential, small commercial (as defined in subdivision (h) of Section 331 of the PU Code), commercial, industrial, or agricultural customer who uses a Renewable Electrical Generation Facility ("REGF"), as defined in Special Condition (SC) 1.b, that is located on the customer's owned, leased, or rented premises, is interconnected and operates in parallel with the Utility's transmission and distribution systems, and is intended primarily to offset part or all of the customer's own electrical requirements[1] (hereinafter "eligible customer-generator" or "customer").

This schedule shall become available to eligible customer-generators upon request, beginning April 15, 2023, the day following the NEM-ST eligibility sunset required by D.22-12-056. Customers who submit complete applications on or after April 15, 2023 will interconnect under Schedule NBT but will be temporarily billed on Schedule NEM-ST until Schedule NBT is fully operationalized in SDG&E's billing system. Once the Schedule NBT is operationalized, any customers who interconnected under Schedule NBT but were billed temporarily on NEM-ST will complete (true-up) their temporary NEM service and transition to being billed on the Net Billing Tariff at the beginning of their next available billing cycle.

Per D.22-12-056, customers are allowed to oversize their REGF to meet expected increased future electrical usage (i.e., increased electrical usage resulting from an electric vehicle or other electrical appliances to support electrification) as defined in SC 4.

This schedule is also applicable to customers whose REGF meets the definition of NEM Paired Storage set forth in SC 8.

This schedule does not apply to customer-generators with multiple meters who wish to aggregate the electrical load of the meters located on the customer's owned, leased, or rented property where the REGF is located. Please refer to Schedule NEM-ST.

Customers who participate in Direct Access (DA), or Community Choice Aggregation (CCA) Service are eligible for service under this Schedule except as otherwise provided herein and specified in SC 3. Service under the Net Billing Tariff is not applicable to DA customer where the customer's ESP does not offer a Net Billing tariff. In addition, if an eligible customer-generator participates in direct transactions with an ESP that does not provide distribution service for the direct transactions, the ESP, and not SDG&E, is obligated to provide Net Billing to the customer.

A customer who owns, rents, or leases a premises that includes a REGF with a capacity of 30kW or less that was approved by SDG&E for parallel operation with SDG&E's grid prior to the customer moving in and/or receiving electric service from SDG&E (Change-of-party customer) may be eligible for service under this schedule as long as the requirements of this section have been met.

1. Electrical requirements means the recorded kWh usage over the most recent 12-month period preceding the submission of an interconnection application or an estimate of usage over a 12-month period. N

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

APPLICABILITY (continued) P

To be eligible, the Change-of-party customer must: 1) ensure that the Generating Facility is compliant with all applicable safety and performance standards, as delineated in Rule 21 and other applicable tariffs; 2) understand that SDG&E may, from time to time, release to the California Energy Commission ("CEC") and/or the California Public Utilities Commission ("CPUC" or "Commission"), information regarding the Change–of party customer's facility, including Change-of-party customer's name and Generating Facility location, capacity and operational characteristics.

Change-of-party customers making any modification to previously approved Renewable Electrical Generation Facility are not eligible for this provision and must complete the interconnection process described in SC 4 of this tariff.

Change-of-party customers also must agree to comply with all rules and requirements of Schedule NBT. When the builder/developer of a subdivision sells a new home during the NBT application process, after the builder/developer completes the Net Energy Metering Application and Interconnection Agreement for customers with Solar and/or Wind Generating Facility of 30kW or Less (Form 142-02765) and otherwise meets all of SDG&E's requirements for the NBT interconnection, but prior to SDG&E providing final written approval for Parallel Operation on Schedule NBT, SDG&E may treat the new home owner/customer as a Change–of-party customer, as defined above. P

Pursuant to Decision (D.) 23-11-068, Electric Schedule NEM-ST Aggregation will close to customers requesting interconnection for new REGFs, or modified REGFs exceeding the allowable threshold (10% of original REGF or 1 kW), after February 14, 2024. Customers applying for interconnection after February 14, 2024, will take service on this NBT Schedule under the Aggregation SC 12. Customers who do not submit complete applications for interconnection by February 14, 2024, will interconnect under the terms of this NBT Schedule and be served under SC 12. N

NBT Aggregation, SC 12 shall become available to eligible customer-generators upon request, beginning February 15, 2024, the day following the NEM-ST SC 7 eligibility sunset required by D.23-11-068. Customers who submit complete applications on or after February 15, 2024, will interconnect under Schedule NBT, SC 12, but will be temporarily billed on Schedule NEM-ST SC 7 until Schedule NBT SC 12 is fully operationalized in SDG&E's billing system. Once the NBT SC 12 is operationalized, any customers who interconnected under Schedule NBT but were billed temporarily on NEM-ST SC 7 will complete (true-up) their temporary NEM service and transition to being billed on the NBT at the beginning of their next available billing cycle. N

TERRITORY

Within the entire territory served by the Utility. P

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

RATES

All rates charged on this schedule will be in accordance with the eligible customer-generator's otherwise applicable metered rate schedule ("OAS"). An eligible customer-generator served under this schedule is responsible for all charges from its OAS including monthly billed minimum charges, customer charges, meter charges, facilities charges, energy and demand charges, and excluding any adjustments due to power factor provisions. Applicable charges are defined in the OAS.

Non-Residential customers must take service on an applicable TOU rate as their OAS, with the exception of streetlighting customers on Schedules LS3, OL2, and ATC.

Separately metered, residential customers including Aggregation customers taking service on the NBT tariff must take service on Schedule EV-TOU-5 as their OAS. Residential customers may also choose to enroll in the Time-of-Use Plus dynamic rate option. Any other demand response programmatic elements that are affected by a customer's load (e.g., program eligibility) shall also be excluded from consideration for any impacts of Generator Account generation. T P

Eligible customer-generators receiving service under this schedule are exempt from the requirement of taking service under Schedule S, Standby Service.

The charges and credits for Multiple Tariff Facilities taking service on this rate schedule under the provisions of SC 5 will be calculated using the OAS identified by the eligible customer-generator in its application for interconnection and its interconnection agreement with SDG&E or as subsequently changed by the eligible customer-generator in accordance with SDG&E's Electric Rule 12. Per SC 5, only the Renewable Portion of the exports to SDG&E's electric grid will be credited and the value will be calculated the same as specified in the Net Billing Export Credits section, below.

Eligible customer-generators with Multiple Tariff Facilities with existing Schedule NEM-ST, Schedule NEM, and/or Schedule NEM-FC-eligible generators who are interconnecting additional generators will receive a bill true-up prior to taking service under SC 5. This ensures that all NEM accounts have the same Relevant Period, as defined in SC 3, going forward.

SDG&E rates and rate design, including the rates and rate design reflected in this Tariff, are subject to change from time to time. Customers should take this into consideration when making any long-term decisions based on rate structures that are currently in place.

Net Billing Import Charges: Under this schedule, customer-generator's electricity consumption (via import from SDG&E) will be charged per the eligible customer-generator's OAS, as measured by the import channel on the customer meter.

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

RATES (continued)

All eligible customer-generators taking service under this schedule are responsible for paying nonbypassable charges (NBCs), which pursuant to D. 16-01-044 and D. 22-12-056 are defined as Public Purpose Program (PPP) charges, Nuclear Decommissioning (ND) charges, the Competition Transition Charge (CTC), the Department of Water Resources Bond Charge (DWR-BC) and the Wildfire Fund Non-Bypassable Charge (WF-NBC). Customers-generators must pay charges (NBCs) based on all kWhs consumed from SDG&E's electric grid (based on the metered import channel). These NBCs may not be reduced by any credits for exports to the grid.

Demand charges will be based on the demand in kilowatts as measured only on the energy being consumed by the customer from SDG&E (Import Channel, all usage).

For SDG&E NBT customers for whom SDG&E provides bundled service (generation and delivery), the energy charges will be in accordance with the customer-generator's OAS. For ESP or CCA customer-generators being billed on Consolidated SDG&E Billing service, the ESP or CCA is responsible for providing the billing information regarding the applicable generation-related bill charges or credits to SDG&E on a timely basis. Charges for energy (kWh) supplied by SDG&E, the ESP or Community Choice Aggregator (CCA), as applicable, will be calculated in accordance with Billing (Special Condition 3).

Net Billing Energy Export Credits (EEC): Under this schedule, customers will accrue credits for electricity exported to SDG&E's electric grid. The exports will be measured by the export channel on the customer meter. To determine the "Export Credit", exported electricity will be multiplied by the hourly avoided costs calculated by the Avoided Cost Calculator (Energy Export Credit Rates). Current and EEC Rates can be viewed here:

<<LINK>> https://www.sdge.com/solar/solar-billing-plan/export-pricing

For the first five years of Schedule NBT being available starting on April 15, 2023 (the glide path transition period) EEC Rates for residential and nonresidential Net Billing Tariff customers will be based on a nine-year schedule of values for each hour from the most recent CPUC Avoided Cost Calculator, adopted as of January 1 of the calendar year of the customer's interconnection date. After nine years from Jan 1 of the calendar year in which the customer was interconnected, EEC Rates will be based on averaged hourly avoided cost values from the most recent Avoided Cost Calculator, adopted as of January 1 of the applicable calendar year.

Customer-generators enrolling after the five-year glide path transition period will not receive a locked-in nine-year schedule for their EEC Rate and will instead be compensated at the average hourly avoided cost values from the most recent Avoided Cost Calculator, adopted as of January 1 of the applicable calendar year in which the compensation is being provided.

Customer-generators who interconnect during the glide path transition period may opt to receive one-year EEC Rates, which will be updated annually. If a customer opts out of receiving their nine-year schedule of rates, they may not opt back in.

For Customers enrolled in the California Alternate Rates for Energy (CARE) and Family Electric Rates Assistance (FERA), the CARE and FERA discount shall not be applied to the retail export compensation rate. This is to ensure that export compensation for these customers is not reduced.

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

SPECIAL CONDITIONS P

1. Definitions: The definitions of terms used in this schedule are either found herein or in Rule 1, Rule 21, or the customer's OAS.

   a. Otherwise Applicable Schedule ("OAS"): The eligible customer-generator's regularly filed rate schedule under which service is rendered.

   b. Renewable Electrical Generation Facility: A facility that generates electricity from a renewable source listed in paragraph (1) of subdivision (a) of Section 25741 of the Public Resources Code or Section 2827(b)(11). These sources are biomass, solar thermal, photovoltaic, wind, geothermal, fuel cells using renewable fuels, small hydroelectric generation (only if facility will not cause an adverse impact on instream beneficial uses or cause a change in the volume or timing of streamflow), digester gas, municipal solid waste conversion, landfill gas, ocean wave, ocean thermal, or tidal current, and any additions or enhancements to the facility using that technology.

   c. Low Income Customers: defined as one or more of the following: (i) residential customers enrolled in California Alternate Rates for Energy and the Family Electric Rates Assistance programs; (ii) resident-owners of single-family homes living in disadvantaged communities (as defined in Decision (D.) 18-06-027); (iii) residential customers who live in California Indian Country (as defined in D.20-12-003).

   d. Energy Exported: The Energy Exported will be determined by the amount of excess generation that is exported to the grid, measured in kWh.

   e. Total Energy Delivered: The Total Energy Delivered will be determined by the amount of energy that is delivered by the utility, measured in kWh.

   f. Energy Export Credit (EEC): is a $/kWh value which represents the estimated value of exports to the grid. This value is calculated using the CPUC Avoided Cost Calculator (ACC). The EEC varies by month and hour, and it is differentiated by weekdays and weekends/holidays. T T T

   g. Net Energy: is defined as measuring the difference between the Total Energy Delivered by the Utility through the electric grid to the eligible customer-generator and the Energy Exported by an eligible customer generator and fed back into the electric grid over a 12-month period (Relevant Period).

   h. Nonbypassable Charges: Pursuant to D. 16-01-044 are defined as Public Purpose Program (PPP) charges, Nuclear Decommissioning (ND) charges, the Competition Transition Charge (CTC), the Department of Water Resources Bond Charge (DWR-BC) and the Wildfire Fund NonBypassable Charge (WF-NBC). These shall be based upon the kWhs consumed in each metered interval over the course of each monthly billing period. P

(Continued)

SCHEDULE NBT

 N

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION N

SPECIAL CONDITIONS (continued) N

2. Metering: Customers receiving service on Schedule NBT must have metering and data communication capabilities necessary to render accurate bills under NBT. Multiple Tariff Facilities will be metered under one of the options described in Special Condition 5. All other net billing shall be accomplished using a single meter capable of:

   a. separately registering the flow of electricity in two directions (imports and exports), and;

   b. metering intervals required for billing under Schedule NBT (15min), and

   c. meeting SDG&E's requirements for transferring usage interval data to SDG&E for billing.

   If the eligible customer-generator's existing electrical meter does not meet the requirements described in above, the eligible customer-generator shall be responsible for all expenses involved in purchasing and installing an acceptable meter with data communication capabilities required to enable accurate billing under Schedule NBT.

   If none of the metering and data communication options available to SDG&E that are necessary to render accurate billing under NBT requirements are acceptable to the customer–generator, SDG&E shall have the right to refuse interconnection for new customers. For NEM Transition Eligible Customers, or SmartMeter Opt-Out customers, if none of the metering options available to SDG&E that are necessary to render accurate billing under NBT requirements are acceptable to the customer–generator, SDG&E shall reserve the right to transition such customers to a Rule 21 Uncompensated Export arrangement instead of NBT. Under a Rule 21 Uncompensated Export arrangement, the customer may incur departing load and standby charges, if applicable. Customers who will be transitioned to Rule 21 Uncompensated Export may require updated meter programming to allow for accurate billing under Rule 21.

   Per Electric Rule No. 16 Section A.11, customers are required to provide SDG&E access to metering equipment for such purposes. If a customer refuses to grant access to SDG&E, such customer's permission to operate (PTO) under Schedule NBT will terminate and such customer will need to disconnect their generating facility from the grid. SDG&E reserves the right to disconnect the customer's service if customer does not comply with SDG&E rules within a reasonable period of time.

   If a newly installed REGF can use existing metering, the metering charges will be based on applicable meter charges in the Generating Account TOU OAS; if a new meter is requested by the customer for a new service and the request is granted by SDG&E, it must be installed at the customer's expense as a Special Facility using incremental costs, pursuant to Section I, Electric Rule 2.

   Additional metering requirements for NBT Paired Storage are described in Special Condition 8 N

(Continued)

SCHEDULE NBT

 N

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION N

SPECIAL CONDITIONS (continued) N

3. Billing: Customer-generators will be billed based on no netting of imports (consumption) and exports (generation to the grid). Charges owed to SDG&E net of any eligible credits will be paid each month and all charges and credits will be trued-up on an annual basis. Export credits will be applicable toward all import charges, except the NBC charges, and if applicable subject to the Net Surplus Electricity and Net Surplus Compensation provisions described in Special Condition 6.

   Facilities qualifying under Multiple Tariffs Facilities, see Special Condition 5.

   For customer-generators, monthly charges will be determined as follows:

   a. Billing on Imported Electricity: Imported electricity, as measured by the import channel on the eligible customer-generator's meter, shall be billed in accordance with the eligible customer-generator's OAS as described in the "RATES" section above. The customer will be charged for the non-bypassable charges; the calculation of which is addressed in section f below.

      If the eligible customer-generator is being served under DA or CCA Service, ESP or CCA charges will be specified by their ESP or CCA in accordance with the eligible customer-generator's OAS and SDG&E's Direct Access or Community Choice Aggregation tariffs. Applicable SDG&E charges or credits will be valued as described in this Special Condition.

      For a DA or CCA Service customer-generator, Generation Rate Component credits, if any, do not reduce the charges owed to SDG&E for energy supplied to the eligible customer-generator, including any NBCs.

   b. Value of Energy Export Credits: Exported electricity, as measured by the export channel on the eligible customer-generator's meter, will be valued at the applicable CPUC avoided cost as described in the "RATES" section above.

   c. Limitations on what Energy Export Credits may offset: Energy Export Credits at the Export Compensation Rate may be used to offset volumetric import charges but may not offset monthly minimum charges, customer charges, meter charges, facilities charges, basic service charges, demand charges and surcharges, non-bypassable charges, and any fixed charges associated with the OAS or Schedule NBT.

      EEC will be accrued separately for avoided costs attributable to generation and delivery. EEC for generation avoided costs will only offset volumetric generation charges accrued per the customers' OAS, and EEC for delivery avoided costs will only offset volumetric delivery charges associated with the customer's OAS. N

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

SPECIAL CONDITIONS (continued) N

3. Billing (continued)

d. Application of export credits within Relevant Period: Export credits at the Export Compensation Rate for generation and delivery will be applied to the corresponding generation and delivery volumetric (kWh) import charges accrued in a given month. The amount owed by the customer in that month for generation and delivery charges will be reduced by the corresponding export credits accrued in that month. Unused generation and delivery Export Credits accrued in a given month can be applied to offset generation and delivery volumetric (kWh) charges within a customers' Relevant Period.

e. Relevant Period: A Relevant Period typically consists of twelve-monthly billing cycles commencing on the date SDG&E provides Customer-Generator with SDG&E's written approval to begin parallel operation of the REGF Permission To Operate (PTO) for purposes of participating in NBT, and on every subsequent anniversary thereof. If an eligible customer-generator terminates service prior to the end of the 12 monthly billing cycles within their Relevant Period, a new Relevant Period, if applicable, will be established starting on the monthly billing cycle after the date of termination. If an eligible customer-generator experiences a change in ESP or CCA prior to the end of the 12 monthly billing cycles within their Relevant Period, a new Relevant Period will be established starting on or after the monthly billing cycle date of the change in ESP or CCA and continuing each anniversary date until the effective date of that termination for ESP or CCA change.

f. Energy True-up: A true up is performed by SDG&E and/or ESP or CCA, as applicable, at the end of each Relevant Period following the date the customer-generator was first eligible for Schedule NBT, or the date of SDG&E's written approval to begin parallel operation of the REGF for purposes of participating in Schedule NBT, whichever is later, and at each anniversary date thereafter. The eligible customer-generator shall be billed as follows:

For all Schedule NBT customers, bill credits can be carried forward to future months within a Relevant Period. For all Schedule NBT customers, if the export credits (not including the ACC Plus credit) are larger than the import charges within the Relevant Period, the excess credits will be set to zero, after debit for excess energy (kWh), if any if NSC is appliable. Customers may make a one-time request that their true-up date be changed going forward. In the event the energy (kWh) generated exceeds the energy (kWh) consumed during the Relevant Period (Net Surplus Electricity), compensation shall be made for the excess energy (kWh), as described and allowed for in Special Condition 6.

For a DA or CCA Service customer-generator, Generation Rate Component credits, if any, do not reduce the charges owed to SDG&E for energy supplied to the eligible customer-generator including calculated NBCs.

Once the true-up is completed at the end of the Relevant Period, any overpayment for energy (kWh) from the true-up will be credited to the customer on their future bill charges. If a customer terminates service with SDG&E before the credits are utilized, SDG&E will provide the customer payment for the remaining credits.

Customers may elect to change the start date of their Relevant Period on a one-time prospective basis. SDG&E must receive this request at least 60 days prior to the requested start date of the new Relevant Period. When the start date change is effectuated, it will cause a shortened existing Relevant Period and the new 12-month Relevant Period will begin. In no case will a Relevant Period extend beyond 12 months. To request a one-time Relevant Period change please contact our Customer Care Center at 1-800-411-7343. N

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

SPECIAL CONDITIONS (continued) N

3. Billing (continued)

   g. Payment Process: All Schedule NBT customers will pay monthly for all applicable charges including the fixed charges within the OAS and any additional net charges due to SDG&E. Customers will have net charges due in a given month if the sum of their import charges and export credits is greater than zero.

   h. Billing Information: SDG&E shall provide the eligible customer-generator with information on energy imported and exported with each regular bill. That information shall include the current monetary balance owed SDG&E for charges net of credits since the last Relevant Period ended.

   i. Electric Service Provider Charges: If SDG&E provides direct access (DA) metering for the ESP, consolidated UDC billing (that is, Consolidated SDG&E Billing as described in SDG&E's Rule 25), Separate or Consolidated ESP Billing support services for DA customer-generators served under SDG&E's rates or their ESP's rates, SDG&E may recover the incremental costs related Schedule NBT from the customer's ESP, as described in Schedule DA – Transportation of Electric Power for Direct Access Customers, and Schedule NDA–UDC Meter Services for Non-Direct Access Customers.

4. Interconnection: Prior to receiving approval for Parallel Operation, the customer-generator must submit a completed SDG&E application form and interconnection agreement as follows:

   Customers with Solar and/or Wind Generating Facilities 30 kW or Less: Form 142-02777

   Customers with Solar and/or Wind Generating Facilities Greater than 30 kW: Forms 142-02778 and 142-02779

   Customers with an interconnection application date after the NEM-ST Sunset Date (April 14, 2023), but before the Net Billing Tariff is operational, will take service and be billed on Schedule NEM-ST on an interim basis and transition to the Net Billing Tariff, once it is operational. The NEM-ST 20-year legacy period is not applicable to NBT customers taking interim service on NEM-ST.

   The interconnection application date for residential customers is defined as the submission date of an application that is free of major deficiencies and includes a complete application (not including the final building permit), a signed contract (if applicable), a single-line diagram (if applicable), a complete California Contractors State License Board Solar Energy System Disclosure Document (if applicable), a signed California Solar Consumer Protection Guide (if applicable), a Customer Authorization (if applicable), and an NBT Oversizing Attestation Form 142-02780 (if applicable).

   The interconnection application date for non-residential customers is defined as the submission date of an application that is free of major deficiencies and includes a complete application (not including the final building permit), a signed contract (if applicable), a single-line diagram, a Customer Authorization (if applicable), and an Oversizing Attestation Form 142-02780 (if applicable). N

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

SPECIAL CONDITIONS (continued) N

4. Interconnection (continued)

Per D.22-12-056, customers are allowed to oversize their REGF to meet expected increased future electrical usage (i.e., increased electrical usage resulting from an electric vehicle or other electrical appliances to support electrification) by executing the NBT Oversized Generating Facility Attestation Form 142-02780. The REGF's estimated annual production should be no larger than:

a. 150 percent of the Customer's most recent 12 months of total usage; or
b. 150 percent of the Customer's estimated annual usage (for new construction and/or customers that do not yet have 12 months of usage only);
c. If the Customer attests to having recently increased their usage, 150 percent of the Customer's current usage projected over 12 months.

The expected increased electrical usage should correspond with the size of the REGF and should materialize within 12 months from issuance of Permission to Operate (PTO).

The eligible customer-generator must meet all applicable safety, and performance standards established by the National Electrical Code, the Institute of Electrical and Electronics Engineers, and accredited testing laboratories such as Underwriters Laboratories and, where applicable, rules of the California Public Utilities Commission regarding safety, reliability, and consumer protection.

In order to promote the safety and reliability of the customer REGF, the applicants shall comply with Electric Rule No. 21 Sections L.2-L.4 and Section L.7. for interconnecting to the electrical grid. Equipment on the CEC list will meet this requirement and does not need to be verified. Other equipment, as determined by SDG&E, should be verified by the customer as having safety certification from a nationally recognized testing laboratory.

Applicant is required to verify as a part of each interconnection request for this tariff, that (i) a warranty of at least 10 years, or (ii) a 10-year service warranty or executed "agreement" ensuring proper maintenance and continued system performance has been provided on all equipment and on its installation.

Pursuant to D.22-12-056, the interconnection fees apply and remain as identified in Electric Rule 21. Customers on this tariff must pay for the interconnection of their REGF, including an application fee. This application fee must be paid through SDG&E's online application portal in order to complete the application, unless otherwise directed by SDG&E. Application fees for Customers impacted by a Natural or Human-Made Disasters, see Special Condition 9.

For the purpose of Schedule NBT, the rating of the generating facility, for the purposes of comparing its size relative to the 1-megawatt (MW) limit, will be determined based on:

1. For each PV generator, both the CEC-AC rating, as applicable, and the aggregate inverter capacity must not be greater than 1 MW for a Generating Facility to be considered ≤1 MW.

2. For each inverter-based generator, the gross nameplate rating of the inverter; or

3. For each non-inverter-based generator, the generator gross nameplate.

4. For REGF's paired with storage, the inverter size of the storage system is not included in the size of the REGF system N

(Continued)

SCHEDULE NBT

 N

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION N

SPECIAL CONDITIONS (continued) N

5. Multiple Tariff Facilities: Multiple Tariff Facilities have the following additional provisions:

   a. When Net Generation Output Metering (NGOM) is required on the REGF, such NGOM must conform to the requirements set forth in Electric Rule 21, Section J.

   b. An NBT-eligible Constituent Generator Group is defined as one or more generators within a facility served behind the same utility revenue meter and subject to Schedule NBT provisions for billing purposes that is eligible for service under the provisions of either Schedules NBT, NEM (Except for Load Aggregation), NEM-ST (Except for Load Aggregation), NEM-FC (Except for Load Aggregation), NEM-BIO or their sub-Schedules.

   c. A non-NBT-eligible Constituent Generator Group is defined as one or more generators within a facility served behind the same utility revenue meter that does not take service under Schedules NBT, NEM, NEM-ST, NEM-FC or NEM-BIO but interconnects under the provisions of Electric Rule 21.

   d. All metering for Multiple Tariff Facilities called for in this Special Condition must meet the requirements needed to bill under the customer-generator's OAS. All metering, equipment and non-Export relays necessary to implement the provisions in this section will be provided at the Customer-Generator's expense.

   e. Customers who take service on Schedule NBT as a multiple tariff facility by adding an NBT-eligible generator to a facility (behind the same utility revenue meter) with existing NEM/NEM-ST/NEM-FC/NEM-BIO eligible REGF(s) will be billed under Schedule NBT, and all eligible REGFs will be combined into one Constituent Generator Group(s), which will be transitioned to and billed under the Schedule NBT.

   f. Multiple Tariff Facility Configurations and Metering: For all eligible combinations of NBT-Eligible Constituent Generator Groups and non-NBT-eligible Constituent Generator Groups, the Customer-Generator must select one of the following options:

      i. The Non-Export Relay Option: A Customer-Generator must install a Non-Export relay on their non-NBT Constituent Generator Group(s).
      ii. The Net Generation Output Metering (NGOM) Option: The customer-generator will receive NBT credits only for NBT-eligible Constituent Generator Group(s) for which the customer has installed interval NGOM on that Constituent Generator Group.

      Multiple Tariff Facilities, served under DA or CCA Service, may only participate to the extent their ESP or CCA offers net billing for the specific constituent generator group(s). All accounts for each specific constituent generator group must be served by the same ESP.

      An existing NEM/NEM-ST/NEM-FC or NEM-BIO customer can install an NBT eligible Generator and stay on their respective tariffs, if the NBT generator would have a Non-Export Relay that would prevent the NBT generator to export to the grid. With this option the NBT eligible generator will be taking service under Rule 21 and will be subject to Schedule S (standby service) and Departing Load. N

(Continued)

SCHEDULE NBT

 N

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION N

SPECIAL CONDITIONS (continued) N

6. Net Surplus Compensation (NSC): Pursuant to P.U. Code Sections 2827 (h)(3), this Special Condition was established to provide a NEM customer having Net Surplus Electricity, to get Net Surplus Compensation for the excess exports to the grid. This benefit is extended to Schedule NBT customers pursuant to D.22-12-056. A customer-generator will qualify for Net Surplus Compensation if the NBT customer-generator exports more electricity in kilowatt-hours into the grid than they consume within the same Relevant Period.

   The NSC is paid only for the excess energy in kilowatt-hours to the grid. Excess energy is calculated as the difference of all exported energy and all imported energy in a Relevant Period. An NBT customer who has Net Surplus Electricity will be known as a Net Surplus Generator.

   a. NSC Applicability: All bundled Net Surplus Generators that satisfy the conditions in the Applicability Section of this tariff and take service under this rate schedule are eligible to receive NSC at the end of the Relevant Period, i.e. at the time of their true-up. A multiple tariff facility Net Surplus Generator is also eligible to receive NSC but only for the one or more generators at the same metered account eligible for billing treatment under Special Condition 3.a through 3.f above, or the applicable tariff for the non-NBT generator.

      Net Surplus Generators who receive Direct Access (DA) Service from an ESP or who receive Community Choice Aggregation (CCA) Service from a CCA are not eligible to receive NSC from SDG&E but may contact their ESP or CCA Provider to see if they provide NSC.

   b. Calculation of NSC: SDG&E will provide compensation for net surplus generation using the following formula:

      NSC = Value of Electricity + Value of Renewable Energy Credits (if applicable)

      i. Value of the Electricity:

         Value of Electricity = Net surplus kWhs x DLAP price

         The Utility will use SDG&E's Default Load Aggregation Point (DLAP) price as the basis for the net surplus compensation rate (adopted in D.11-06-016). DLAP reflects the costs the Utility avoids in procuring power during the time period net surplus generators produce excess power. This rate is the simple rolling average of SDG&E's DLAP price from 7 a.m. to 5 p.m. corresponding to the customer's 12-month relevant period. The rolling average will be calculated on a monthly basis and be applied to all customers with a relevant period in the following month. The Utility uses a full 12 months of DLAP prices, as published on the CAISO Open Access Same-time Information System (OASIS), ending the twentieth (20th) day of each month. The Utility then calculates the net surplus compensation rate within five days of the first of the month to allow the CAISO to finalize the day-ahead DLAP prices. This rate is applied to all eligible net surplus generators, irrespective of their rate class. This rate will be updated monthly and is available at: http://www.sdge.com/nem/. N

(Continued)

SCHEDULE NBT

 N

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION N

SPECIAL CONDITIONS (continued) N

6. Net Surplus Compensation (NSC) (continued)

   b. Calculation of NSC: SDG&E will provide compensation for net surplus generation using the following formula: (continued)

      ii. Value of Renewable Energy Credits:

      Value of Renewable Energy Credits = Net surplus kWhs x Average Renewable Premium

      The CEC has determined the eligibility of customer REGFs for the Renewables Portfolio Standard (RPS) and developed an ownership verification and tracking process for Renewable Energy Credits (RECs) created by net surplus generators, which is set forth in the CEC's RPS Eligibility Guidebook, available at: http://www.energy.ca.gov/renewables/documents/#rps

      The Utility will include an Renewable Attribute Adder (RAA) with the NSC rate if the eligible customer has: (1) certified ownership of RECs associated with his net surplus generation and provides this certification to the Utility; (2) obtained RPS certification from the CEC for the customer's REGF and provides this certification to the Utility; and (3) transfers the ownership of the RECs associated with his net surplus electricity to the Utility using the Western Renewable Energy Generation Information System (WREGIS). To effectuate these requirements, Customers requesting Utility compensation for the RAA must complete the Net Energy Metering Renewable Energy Credits Compensation Agreement (Form 182-1000).

      The renewable attribute adder will be calculated using the most recent Western Electricity Coordinating Council (WECC) average renewable premium, based on United States Department of Energy (DOE) published data. The renewable attribute adder will only be paid to those net surplus generators who provide RECs to the Utility. This rate will be updated annually and is available at http://www.sdge.com/nem.

      In accordance with the process established in D.11-06-016, Schedule NBT customers who elect to receive NSC must notify the Utility that they are a Qualifying Facility exempt from certification filing at the Federal Energy Regulatory Commission ("FERC"). Since all eligible customer-generators with net power production capacities of 1 MW or less, currently meet the requirements for a qualifying facility exempt from certification filing at FERC by being under 1 MW (under FERC Order 732), SDG&E requires no additional documentation at this time. Schedule NBT customers interconnecting a REGF with a capacity greater than 1 MW that are also electing to receive Net Surplus Compensation shall provide notice to the Utility that it is self-certifying such facility as a Qualifying Facility pursuant to the Public Utility Regulatory Policies Act of 1978 by properly completing and filing FERC Form No. 556 with the FERC. FERC Form No. 556 is not a requirement of interconnection. N

(Continued)

SCHEDULE NBT

 N

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION N

SPECIAL CONDITIONS (continued) N

6. Net Surplus Compensation (NSC) (continued)

   c. Discontinuance of NSC Double Compensation: Pursuant to D.22-12-056, SDG&E is directed to discontinue the NEM tariff's practice of double compensation when implementing Schedule NBT. During a customer's 12-month annual true-up in this Net Billing tariff, SDG&E shall determine if the customer's net exports are positive, i.e., the customer exported more electricity than they imported over the past 12-month period and received an overpayment. If the net exports are positive, that quantity of kilowatt hours will be debited from the customer's account at a rate equal to the utility's average real-world retail export compensation rates for all net billing tariff customers in their service territory over the past 12 months. The customer will then be credited at the Net Surplus Compensation rate for the same number of kilowatt hours.

   d. Options for receiving NSC – A NBT customer with NSC will automatically have their NSC applied to any amounts owed to SDG&E and then may choose to:

      i. take no action and roll any remaining NSC amounts forward to offset subsequent SDG&E charges; or
      ii. request that SDG&E issue a check if the remaining NSC amount is greater than one dollar ($1). A customer can select this option by calling SDG&E. If the customer is closing all their accounts with SDG&E, SDG&E will automatically send a check; or

   e. Qualifying Facility Status: Customers must comply with the appropriate conditions below to first demonstrate to SDG&E that they are Qualifying Facilities (QFs) in order to receive NSC.

      i. No documentation of QF status is required of any NBT customer-generators with a net power production capacity of one megawatt or less, consistent with Federal Energy Regulatory Commission (FERC) regulations 18 C.F.R. §292.203.
      ii. NBT customer-generators with a net power production capacity greater than one megawatt shall self-certify QF status by submitting FERC Form 556 to FERC pursuant to 18 C.F. R. §292.207(a). Notice to SDG&E as the utility with which the facility will interconnect and/or transact shall be provided in accordance with FERC Form 556 instructions. Filing Form No. 556 is not a requirement for interconnection under this provision.

   f. Generator Size: Nothing in this Special Condition alters the existing NBT system sizing requirement. Specifically, in order to be eligible for NSC, a system must be intended primarily to offset part or all of the customer's own electrical requirements. N

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

SPECIAL CONDITIONS (continued) N

7. NBT Legacy Provisions:

All Customers receiving service on Schedule NBT, and who have submitted all documentation necessary to receive service, are eligible to continuously stay enrolled on Schedule NBT for a period of up to 9 years from the original permission to operate (PTO) date. Eligible enrollment period ends at the conclusion of the Customer's applicable Relevant Period. The Relevant Period ends immediately on or after the 9th anniversary of the original PTO date.

NEM and NEM-ST customers who elect to switch to the Schedule NBT prior to the conclusion of their Schedule NEM or NEM-ST Legacy Period permanently forfeit any of their Generating Facility's remaining transition period eligibility and may not later change back to receiving service under these legacy rate schedules. Customers at the end of their NEM or NEM-ST Legacy Period enrollment who transitioned to the NBT Schedule may not begin a new nine-year Legacy Period under NBT and can be subject to future tariff transitions if directed by the CPUC.

a. Facility Modifications: REGFs eligible for the 9-year transition period outlined above that are modified and/or repaired shall remain eligible for the remainder of their 9-year transition period as long as the modifications and/or repairs do not increase the REGF by more than the greater of:

   i. 10 percent of the REGF's Inverter Nameplate Capacity (for inverter-based technologies) or 10 percent of the REGF's Nameplate Capacity (for non-inverter-based technologies), as established when the REGF was originally interconnected, or

   ii. 1 kW;

   and provided the modifications and/or repairs do not result in the REGF exceeding the Customer's annual onsite load.

   iii. NEM or NEM-ST Customers moved (or transitioning) to Schedule NBT increasing their REGF system size due to modifications and/or repairs exceeding the provisions of SC 7.a.i and SC 7.a.ii detailed above will begin a new 9-year legacy period from the PTO date of their modification and/or repairs.

b. Transferability: The 9 year legacy period is linked to the customer who originally causes the system to be installed, not to the system itself. If the original customer moves away within nine years from the system's permission to operate (PTO) and another utility customer takes control of (e.g., buys, leases, or pays a power purchase agreement for) the system, the subsequent utility customer does not have a legacy period. There are two exceptions to this:

   i. When the subsequent customer is or was the legal partner (e.g., spouse or domestic partner in the case of residential customers, the account-holding entity continues to be majority controlled by the same underlying individuals or entities from the time the legacy system was installed) of the original customer. For this latter group, the legacy period does not restart when the subsequent customer takes control of the system. Rather, the legacy period maintains its original interconnection date and length of nine years. Customers must complete and return form 142-02790.

   ii. When a builder/contractor constructs a new building and receives PTO before selling the unit. The new owner after the rebuild will be able to retain the 9-year legacy period. N

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

SPECIAL CONDITIONS (continued) N

8. NBT Paired Storage:

   a. Definition: NEM and NBT Paired Storage is defined as an energy storage device paired with a renewable electrical generating facility that meets the Renewables Portfolio Standard Guidebook[2] (RPS Guidebook) requirements to be classified as an "addition or enhancement" as described in section 8.b) below.

   b. Types of NBT Paired Storage: The RPS Guidebook establishes two categories of energy storage that may be considered an addition or enhancement to a renewable electrical generation facility: "integrated" and "directly connected" storage.

      i. Integrated Storage: Integrated Energy Storage is defined as a method of storing energy from a renewable energy resource that is integrated into the renewable electrical generating facility as part of the generation process. For example, in order to be defined as integrated, a battery-based storage device must be capable of storing energy from only the renewable electrical generating facility.

      ii. Directly Connected: Directly Connected Storage is defined as being both: (1) directly connected to the renewable electrical generating facility via an internal power line (i.e., power may not be transmitted from the renewable facility to the energy storage via an external distribution line) and (2) the storage device must be operated as part of the renewable electrical generating facility.

   c. NBT Paired Storage Sizing Provisions: The sizes of small storage devices and large storage devices using a separate inverter from the NBT-eligible generator are determined by the alternating current nameplate rating of the inverter. For Direct Current-Coupled NBT Paired Storage devices, the storage device capacity is determined, for the purpose of assessing size restrictions and metering requirements applicability, as the lesser of the maximum continuous output rating of the storage device and the nameplate capacity of the inverter that is shared with the NBT-eligible generator. Continuous output of a storage device is determined by referring to the device manufacturer's technical specifications sheet. Requirements for Large NBT Paired Storage (i.e., all NBT Paired Storage except for devices that are sized at 10 KW or smaller and paired with a solar renewable electrical generating facility). Large NEM Paired Storage shall have a maximum output power no larger than 150% of the renewable electrical generating facility's maximum output capacity. Pursuant to CPUC Decision 20-06-017, effective August 17, 2020, this limitation shall be temporarily suspended for a period of three (3) years. Customers using Large NBT Paired Storage must do one for the following:

[2]. www.energy.ca.gov/renewables/documents/index.html#rps N

(Continued)

SCHEDULE NBT

 N

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION N

SPECIAL CONDITIONS (continued) N

8. NBT Paired Storage:(continued)

c. NBT Paired Storage Sizing Provisions (continued)

i. install a non-export relay on the storage device(s);
ii. install an interval meter for the NBT-eligible generation, meter the load, and meter total energy flows at the point of common coupling;
iii. install an interval meter directly to the NBT-eligible generator(s).
iv. firmware-based or software-based equipment, certified to a national standard or to a utility-approved testing procedure, that prevents electricity from being exported to the grid from the storage device;
v. firmware-based or software-based equipment, certified to a national standard or to a utility-approved testing procedure, that prevents electricity from being imported from the grid to the storage device.

The open-loop response time listed on the technical specification sheet for firmware-based or software-based equipment used for meeting the requirements under options (iv) and (v) above must not exceed ten (10) seconds. . In the event a customer chooses to install a software-based option under (iv) or (v) above, the customer shall submit a completed and signed version of the Net Energy Metering Non-export/Nonimport Power Control-based Equipment Attestation Form (Form 142-02775).

Requirements for Small NBT Paired Storage (i.e., storage devices sized at 10 KW or less that are paired with a solar renewable electrical generating facility) Small NBT Paired Storage is not subject to sizing requirements. Customers using Small NBT Paired Storage have the option to install metering, as required for Large NBT Paired Storage, or may choose the estimation methodology described in section d), below.

d. Billing for NBT Paired Storage

i. Estimation Methodology for Small NBT Paired Storage: Small NBT Paired Storage billing uses an estimation methodology that caps NBT bill credits based on monthly solar renewable electrical generating facility production estimates. The approach used to develop the production estimates and apply them to Small NEM Paired Storage billing is described below: N

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

SPECIAL CONDITIONS (continued)

7. NBT Legacy Provisions:

All Customers receiving service on Schedule NBT, and who have submitted all documentation necessary to receive service, are eligible to continuously stay enrolled on Schedule NBT for a period of up to 9 years from the original permission to operate (PTO) date. Eligible enrollment period ends at the conclusion of the Customer's applicable Relevant Period. The Relevant Period ends immediately on or after the 9th anniversary of the original PTO date.

NEM and NEM-ST customers who elect to switch to the Schedule NBT prior to the conclusion of their Schedule NEM or NEM-ST Legacy Period permanently forfeit any of their Generating Facility's remaining transition period eligibility and may not later change back to receiving service under these legacy rate schedules. Customers at the end of their NEM or NEM-ST Legacy Period enrollment who transitioned to the NBT Schedule may not begin a new nine-year Legacy Period under NBT and can be subject to future tariff transitions if directed by the CPUC.

NEM Aggregation customers that are electing to switch voluntarily or having to switch, due to tariff modification threshold limit described below in SC 7(a), to this tariff to be served under NBT Aggregation, will have a legacy period equivalent to the lesser of 1) 20 years from the original PTO date or 2) 9-years from the PTO of the addition. N N N N

a. Facility Modifications[1]: REGFs eligible for the 9-year transition period outlined above that are modified and/or repaired shall remain eligible for the remainder of their 9-year transition period as long as the modifications and/or repairs do not increase the REGF by more than the greater of: P

   i. 10 percent of the REGF's Inverter Nameplate Capacity (for inverter-based technologies) or 10 percent of the REGF's Nameplate Capacity (for non-inverter-based technologies), as established when the REGF was originally interconnected, or

   ii. 1 kW;

   and provided the modifications and/or repairs do not result in the REGF exceeding the Customer's annual onsite load.

   iii. NEM or NEM-ST Customers moved (or transitioning) to Schedule NBT increasing their REGF system size due to modifications and/or repairs exceeding the provisions of SC 7.a.i and SC 7.a.ii detailed above will begin a new 9-year legacy period from the PTO date of their modification and/or repairs.

---

1. This requirement will only be enforced upon the development of a new NBT Successor Tariff, or by the direction of the CPUC. P P P

(Continued)

SCHEDULE NBT

 N

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION N

SPECIAL CONDITIONS (continued) N

8. NBT Paired Storage (continued)

   e. NBT Paired Storage – Metering Costs: SDG&E will install standard metering equipment whenever possible. Standard metering equipment for this purpose is comprised of up to two self-contained, single phase, meters. The fee for installation of standard metering equipment is capped at $600.00. The $600.00 cap does not apply to metering for NBT Paired Storage requiring complex metering.

   Complex metering includes any configuration other than the standard equipment described above. The amount billed to a customer for complex metering varies and is based on actual costs incurred by SDG&E. A description of the costs associated with complex metering equipment will be included with the customer's invoice.

   f. NBT Paired Storage – Interconnection Cost Responsibility NBT Paired Storage will be subject to the same interconnection cost responsibility as the renewable electrical generating facility that it is paired with. In the event the storage device is added at a date later than the date permission to operate the renewable electrical generating facility was issued, the customer will be required to pay the same interconnection fees and costs that the REGF would be required to pay, as provided for in Electric Rule 21.

9. Consumer Protection Information Disclosure:

   As a condition of interconnecting an REGF and receiving service under Schedule NBT, consistent with this condition for NEM-ST and pursuant to CPUC Decisions D14-11-001 and D.21-06-026, SDG&E is required to provide certain data to the CPUC, its contractors, the California Department of Consumer Affairs Contractors State License Board, and the California Department of Financial Protection & Innovation including, but not limited to, confidential customer information. Customer authorizes SDG&E to release any and all information contained in an application for interconnection to the entities identified above without further notification or consent. Furthermore, Customer authorizes SDG&E to release information regarding Customer's Generating Facility, including location, size, and operational characteristics to the CEC, as requested from time to time pursuant to the CEC's rules and regulations. N

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

SPECIAL CONDITIONS (continued)

8. NBT Paired Storage:(continued)

c. NBT Paired Storage Sizing Provisions: The sizes of small storage devices and large storage devices using a separate inverter from the NBT-eligible generator are determined by the alternating current nameplate rating of the inverter. For Direct Current-Coupled NBT Paired Storage devices, the storage device capacity is determined, for the purpose of assessing size restrictions and metering requirements applicability, as the lesser of the maximum continuous output rating of the storage device and the nameplate capacity of the inverter that is shared with the NBT-eligible generator. Continuous output of a storage device is determined by referring to the device manufacturer's technical specifications sheet. Requirements for Large NBT Paired Storage (i.e., all NBT Paired Storage except for devices that are sized at 10 KW or smaller and paired with a solar renewable electrical generating facility). Large NEM Paired Storage shall have a maximum output power no larger than 150% of the renewable electrical generating facility's maximum output capacity. Pursuant to CPUC Decision 20-06-017, effective August 17, 2020, this limitation shall be temporarily suspended for a period of three (3) years. On August 9, 2023, the Joint IOUs requested a 2-year extension of time to comply with Ordering Paragraph (OP) 6 of D.20-06-017. Therefore, the limitation shall continue to be suspended until August 16, 2025. T N N

Customers using Large NBT Paired Storage must do one for the following:

i. install a non-export relay on the storage device(s);
ii. install an interval meter for the NBT-eligible generation, meter the load, and meter total energy flows at the point of common coupling;
iii. install an interval meter directly to the NBT-eligible generator(s).
iv. firmware-based or software-based equipment, certified to a national standard or to a utility-approved testing procedure, that prevents electricity from being exported to the grid from the storage device;
v. firmware-based or software-based equipment, certified to a national standard or to a utility-approved testing procedure, that prevents electricity from being imported from the grid to the storage device.

The open-loop response time listed on the technical specification sheet for firmware-based or software-based equipment used for meeting the requirements under options (iv) and (v) above must not exceed ten (10) seconds. . In the event a customer chooses to install a software-based option under (iv) or (v) above, the customer shall submit a completed and signed version of the Net Energy Metering Non-export/Nonimport Power Control-based Equipment Attestation Form (Form 142-02775).

Requirements for Small NBT Paired Storage (i.e., storage devices sized at 10 KW or less that are paired with a solar renewable electrical generating facility) Small NBT Paired Storage is not subject to sizing requirements. Customers using Small NBT Paired Storage have the option to install metering, as required for Large NBT Paired Storage, or may choose the estimation methodology described in section d), below.

d. Billing for NBT Paired Storage

i. Estimation Methodology for Small NBT Paired Storage: Small NBT Paired Storage billing uses an estimation methodology that caps NBT bill credits based on monthly solar renewable electrical generating facility production estimates. The approach used to develop the production estimates and apply them to Small NEM Paired Storage billing is described below:

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

SPECIAL CONDITIONS (continued) P

10. Natural or Human-Made Disasters:

Customers receiving service on Schedule NBT who are impacted by a natural or human-made disaster may request service on this tariff from (i) the date of the issuance of their original pre-natural or human-made disaster "permission to operate" (PTO) letter until (ii) the date of the customer's first Energy True Up in the tenth (10th) year. Impacted Customers must:

(i) reapply for interconnection with a replacement system sized to generate no more than 12 months of historic, or estimated, usage (kWh), and
(ii) when reapplying for interconnection, submit proof of destruction of the renewable generator, if requested by SDG&E.

Customers with natural or human-made disasters who are reapplying to this tariff are also eligible to oversize their system per the applicability of this tariff by executing the NBT oversize attestation.

If the generator needs to be replaced due to a natural or human-made disaster SDG&E will true-up the NBT account(s) pursuant to Special Condition "Billing"., and Net Surplus Compensation (NSC) will be issued, if any, pursuant to Special Condition "Net Surplus Compensation", up to the date of the natural or human-made disaster, unless the Customer requests that SDG&E continue to bill the Customer on NBT through the Customer's next regular true-up date.

The intervening period from destruction of the generator to PTO of the replacement generator must be no longer than four years, unless reasonable documentation acceptable to SDG&E is provided showing that the new interconnection is in process. The interconnection application must be completed by the same NBT customer who was taking service on NBT prior to the Natural or Human-Made Disaster. If the generator is not replaced by the same NBT Customer, but the property is sold to a new owner after the destruction of the generator, this provision does not extend to the new owner. The new owner must apply and take service under the effective tariff at the time of interconnection and is subject to all the requirements of a new customer seeking interconnection for that tariff.

Customers impacted by Natural or Human-Made Disasters who meet the requirements included in this Special Condition and whose replacement system is sized no greater than 1 megawatt (MW) are exempt from the interconnection application fee when reapplying. Customers impacted by Natural or Human-Made Disasters must comply with all requirements including and not limited to the installation of Smart Inverter technology, in Electric Rule 21. P

11. Prevailing Wage P, L

California Public Utilities (PU) Code 769.2 requires a contractor that installs a Renewable Electrical Generation Facility (REGF) or associated battery storage to comply with prevailing wage requirements in order for the facility to participate in a tariff developed pursuant to PU Code Section 2827 or 2827.1. These requirements are stated in PU Code 769.2 and in case of any discrepancy between tariff language and the PU Code, the language in the PU Code prevails.

The requirements are:

1. The contractor shall pay each construction worker employed, at minimum, the general prevailing rate of per diem wages, except that an apprentice registered in a program approved by the Chief of the Division of Apprenticeship Standards shall be paid, at minimum, the applicable apprentice prevailing rate. P, L

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

SPECIAL CONDITIONS (continued)

11. Prevailing Wage (continued)

2. The contractor shall maintain and verify payroll records pursuant to Section 1776 of the Labor Code and make those records available for inspection and copying as provided in that Section. The contractor shall not be required to provide copies of certified payroll records to any entity other than the Department of Industrial Relations or the California Public Utilities Commission (Commission). Pursuant to Decision 23-11-068 the contractor may also be required to provide these records to any entity that the Commission designates to act on its behalf to implement this requirement.

3. The contractor shall biannually, on July 1 and December 31 of each year, submit to the Commission digital copies of its certified payroll records for projects. Contractors may submit their records on a voluntary basis more often than the biannual requirement stated in PU Code 769.2. The contractor's submission of payroll records is a condition to access tariffs developed pursuant to PU Code Section 2827 or 2827.1 for a customer REGF subject to PU Code Section 769.2.

   The requirements of PU Code Section 769.2 do not apply to projects with a complete interconnection application submission date before January 1, 2024. If a customer or contractor provides documentation confirming that the facility that they are applying for was built on or before December 31, 2023, the prevailing wage requirements will not apply to that project. All projects with an interconnection application submission date on or after January 1, 2024, including applications to modify an existing REGF, are subject to the PU Code 769.2 requirements with the following exceptions:

1. A residential REGF that has a maximum generating capacity of 15 kilowatts or less of electricity.

2. A residential REGF that is installed on a single-family home.

3. A project that is a public work, as defined in Section 1720 of the Labor Code, and that is subject to Article 2 (commencing with Section 1770) of Chapter 1 of Part 7 of Division 2 of the Labor Code.

4. A REGF that serves only a modular home, a modular home community, or multiunit housing that has two or fewer stories.
   a. Modular Home: Modular home, although better constructed, is like manufactured home (as defined in the California Health and Safety Code) where both are constructed offsite. Unlike manufactured home, modular home must meet the same local or state building codes as an on-site home. Modular home does not have the requirement to have a wheeled chassis permanently attached.
   b. Modular Home Community: A community with two or more Modular Homes.

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

SPECIAL CONDITIONS (continued)

11. Prevailing Wage (continued)

If PU Code 769.2 applies, the customer must execute the **Prevailing Wage Disclosure Form (142-02783)** and submit the form with their interconnection application, and customer's contractor shall confirm to SDG&E that it is up to date with their past required submittals of payroll records.

If customer's contractor has been found to have willfully violated PU Code 769.2 in connection with the construction of customer's REGF, *that facility* shall not be eligible to receive service pursuant to a tariff developed based on PU Code Sections 2827 or 2827.1. Only in the case of multi-tariff configuration, where there is more than one generator behind the same utility billing meter (renewable or not), SDG&E will treat all the generators as one system and therefore none of the renewable generators will be served on tariffs developed based on PU Code Section 2827 or 2827.1, and those renewable generators will be compensated based on PURPA compliant tariff, regardless which facility is subject to the violation of PU Code 769.2.

If a willful wage violation is alleged, the customer's REGF will remain on the tariff until the Department of Industrial Relations (Department) or a court completes their assessment and makes a final determination. At that time, if the contractor is found in willful violation, then SDG&E will be required to remove the customer's REGF implicated by the violation from the applicable NEM/NBT tariffs and transition the Customer to the PURPA compliant tariff on the next billing cycle (after the required 30/60-day notification). Pursuant to Decision 23-11-068, a customer's single generating account with no benefitting/aggregated account will get a 30-day notice. Customers' single generating account with benefitting/aggregated accounts will get a 60-day notice. While on the PURPA compliant tariff, the REGF will be compensated based on that tariff and the REGF may be subject to Departing Load and Standby charges (if applicable), as the REGF is no longer served under the applicable NEM/NBT tariffs. The customer's REGF billing meter will be trued up before transitioning to the PURPA compliant tariff and any credits remaining after true-up will be forfeited. If the customer's REGF is enrolled in a virtual tariff all benefiting/aggregated accounts will also lose their credits.

If the violation occurs on a single generating account and there are no benefitting/aggregated account(s), SDG&E will notify the Customer at least 30 days in advance of automatically transitioning the customer's REGF on their next billing cycle to a PURPA compliant tariff.

If the violation occurs on a single generating account with benefitting/aggregated account(s) SDG&E will notify the Customer(s) at least 60 days in advance of automatically transitioning the customer's REGF on their next billing cycle to a PURPA compliant tariff.

If a willful wage violation is reversed or nullified by the determining body and the generation account holder or Customer/property owner provides documentation to the utility evidencing such reversal/nullification, then the REGF will be able to regain access to the appliable NEM/NBT tariff as of the next billing cycle after the reversal of the willful wage violation.

Beginning January 1, 2025, contractors who have been found in violation of the prevailing wage rule in PU Code Section 769.2 will not be permitted to apply to interconnect facilities utilizing tariffs established pursuant to PU Code sections 2827 or 2827.1.

P T N | N P

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

SPECIAL CONDITIONS (continued)

12. NBT Aggregation N

Except as otherwise provided for below under this SC, all other terms and conditions of this schedule shall be applicable to customers receiving service under this SC. Under this SC, an eligible customer-generator with multiple meters may elect to aggregate the electrical load of the meters located on the property where the REGF is located and on all property adjacent or contiguous to the property on which the REGF is located, provided that all properties are solely owned, leased, or rented by the eligible customer-generator. All of the following additional conditions are applicable to an eligible customer-generator that elects to aggregate its electric load pursuant to this SC (NBT Aggregation Customer):

a) Definitions:

1) NBT Aggregated Account(s): the eligible account(s) associated with the eligible meters, as identified by the customer whose load will be aggregated for the purpose of applying NBT-Aggregation that are listed on NBT Aggregation Form 142-02785 (“Net Billing Tariff Aggregation Form”).

2) Generating Account: an account with an associated REGF.

3) Aggregated Arrangement: A single Generating Account and all NBT Aggregated Accounts identified by the NBT Aggregation Customer on the NBT Aggregation Form.

4) As used in this SC, the terms “Property” and “Parcel” have the same meaning.

b) An eligible customer-generator electing service under this SC is subject to the following:

1) NBT Aggregation Customers must continue to meet the definition of an eligible customer-generator found in PU Code Section 2827(b)(4) in order to additionally qualify for NBT Aggregation.

2) NBT Aggregation Customers may elect to receive service under this SC provided that all meters in the Aggregated Arrangement are located on parcels that are part of an unbroken chain of contiguous parcels that are solely owned, leased or rented by the NBT Aggregation Customer. For the purposes of NBT Aggregation, parcels that are divided by a street, highway, or public thoroughfare are considered contiguous, provided they are within an unbroken chain of otherwise contiguous parcels and under the same ownership or lease, as verified in Form 142-02785. In all instances where a NBT Aggregation Customer receives NBT Aggregation service, contiguous properties must be under the same ownership or lease. N

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

SPECIAL CONDITIONS (continued) N

12. NBT Aggregation (Continued)

b) An eligible customer-generator electing service under this SC is subject to the following: (continued)

For example, if there are three parcels (A, B and C), all of which are solely owned, leased or rented by the NBT Aggregation Customer, where A contains the REGF and A abuts B, B abuts C, but A and C are separated by B, then the loads of all three parcels shall be eligible to participate in NBT Aggregation. Refer to Diagram 1 (for illustrative purposes only). In addition, if there are five parcels (A, B, C, D and E) that form a cluster of contiguous parcels, where A contains the REGF, and D and E are separated from A, B, and C by a street, highway or public thoroughfare, for the purposes of participating in NBT Aggregation only, all five parcels are considered contiguous, provided they are otherwise contiguous and all are solely owned, leased or rented by the Customer. Refer to Diagram 2 (for illustrative purposes only).

Diagram 1

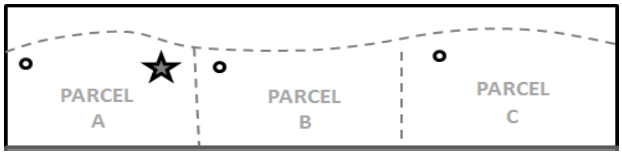
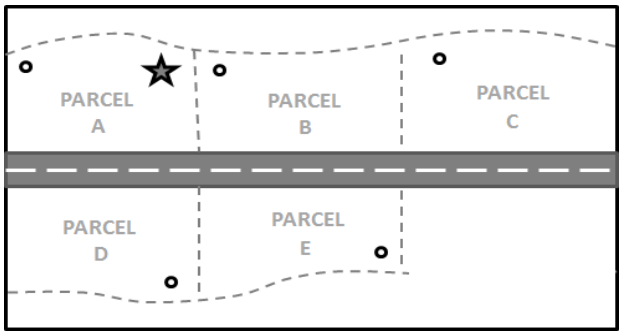


Diagram 2



= RENEWABLE ELECTRICAL GENERATION FACILITY
= METER
= ELIGIBLE

N

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

SPECIAL CONDITIONS (continued) N

12. NBT Aggregation (Continued)

b) An eligible customer-generator electing service under this SC is subject to the following: (Continued)

3) All Meters in an Aggregated Arrangement must be located on the same property and adjacent or contiguous property as the REGF or facilities.

4) All meters in an Aggregated Arrangement must be billing under the name of the same customer of record.

5) Existing NEM and NEM-ST customers electing NBT Aggregation who also have executed interconnection agreements and who are making no modifications to their REGF other than electing NBT Aggregation will not be required to complete new interconnection agreements and will not be subject to additional interconnection studies.

6) A REGF must be sized to primarily offset part or all of the customer's own electrical requirements. System capacity is determined by the CEC Alternating Current nameplate capacity rating.

7) In accordance with all the applicable Utility tariffs, including but not limited to Rule 21, and any other regulations and laws governing the interconnection, NBT Aggregated Accounts are permitted to be equipped with non-REGF generating facilities.

8) NBT Aggregation Customers shall be responsible for remitting payment to the Utility for the costs of providing NBT Aggregation billing services.

9) The Utility may request additional information from customers and conduct research to ensure compliance with all applicable statutes and tariffs, including but not limited to the standard NBT and NBT Aggregation requirements. If the Utility determines that an existing or prospective NBT Aggregation Customer is not in compliance with all applicable statutes and tariff provisions, including but not limited to standard NBT and NBT Aggregation requirements, the Utility may refuse or discontinue service under NBT Aggregation.

10) NBT Aggregation Customer-generators are qualified for Net Surplus Compensation (NSC). N

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

SPECIAL CONDITIONS (continued) N

12. NBT Aggregation (Continued)

c) Interconnection: If an eligible customer-generator elects to receive NBT Aggregation service and satisfies the requirements in paragraph (b) of this SC and the applicable statutes and tariffs, the eligible customer-generator will be subject to the following interconnection process:

1) NBT Aggregation Customers shall have an effective interconnection agreement with the Utility.

2) As applicable, the NBT Aggregation Customer will indicate its election of NBT Aggregation on either Form 142-02777 (Net Billing Tariff Interconnection Application for Customers with Solar and/or Wind ONLY Electric Generating Facilities of 30 Kilowatts or Less, and for Customers Installing Energy Storage Paired with Such Generating Facilities) or Form 142-02778 (Net Billing Tariff Interconnection Application for Customers with Solar and/or Wind ONLY Electric Generating Facilities Greater than 30 Kilowatts and for Customers Installing Energy Storage Paired with Such Generating Facilities). In addition, the NBT Aggregation Customer will complete the Net Billing Tariff Aggregation Form (Form number 142-02785) ("Aggregation Form"). The Aggregation Form (1) requests a list of meters and accounts the NBT Aggregation Customer intends to include in the Aggregated Arrangement; (2) requires the NBT Aggregation Customer to select the preferred method for interconnecting to the electrical grid; and (3) includes a declaration the NBT Aggregation Customer must sign acknowledging and verifying that the conditions set forth in paragraph (c) of this SC have been met.

3) The NBT Aggregation Customer must select which of the two methods offered for interconnecting to the Utility's grid is preferred: interconnecting via a billing account meter – Billing Account Method or a Net Generator Output Meter (NGOM) – NGOM Method.

a) Billing Account Method: This interconnection method follows the standard interconnection model applicable to non-multiple tariff NBT customers receiving service under this rate schedule. No additional metering equipment is necessary for interconnecting under this method. Payment of all costs for any system upgrades required for an Aggregated Arrangement shall be the responsibility of the NBT Aggregation Customer.

b) NGOM Method: Under this method, the NBT Aggregation Customer shall be responsible for paying a one-time, upfront, charge, adjusted to include the factors described in the Special Facilities section of Electric Rule 2 and calculated based on all costs associated with:

a. connecting the REGF directly to SDG&E's distribution system;

b. installing a SDG&E-owned NGOM capable of recording generation in 15-minute intervals;. N

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

SPECIAL CONDITIONS (continued) N

12. NBT Aggregation (Continued)

c) Interconnection: (continued)

3) The NBT Aggregation Customer must select which of the two methods offered for interconnecting to the Utility's grid is preferred: interconnecting via a billing account meter – Billing Account Method or a Net Generator Output Meter (NGOM) – NGOM Method. (continued)

b) NGOM Method: (continued)

c. applicable disconnect/reconnect procedure charges requested by the customer, any wiring, trenching, conduit; and
d. any other facility costs incurred by SDG&E to interconnect the REGF.

The location of the customer's equipment necessary for the installation of the NGOM shall be approved by the Utility and will normally be grouped with the service and metering equipment for one or more existing SDG&E-owned meters. The Utility will measure the generation output from the REGF and assign each Aggregated Account the appropriate credit based on the monthly usage of each Aggregated Account.

If there is any load behind the NGOM in addition to incidental load related to the operation of the NBT Aggregation Customer, the Utility may require, at the expense of the NEM-ST Aggregation Customer, the purchase and installation of metering equipment necessary to determine the total generation and total usage at the interconnection point. Usage shall be billed as a usage account to ensure that all eligible generation output is allocated and that netting only occurs after credits have been allocated.

The current cost of an NGOM varies depending on the type of meter required and typically ranges from $1,000 - $5,000, updated as required. Other equipment that may be required for the installation of an NGOM (including, but not limited to, remote communications costs) shall be installed at the NBT Aggregation Customer's expense.

Meter Type	Estimated Cost
Self-contained Meter Installation (≤200a)	$954
Single-phase CT Installation	$3,192
Three-phase CT Installation (<800a)	$3,235
Three-phase CT Installation (≥800a)	$3,213

N

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

SPECIAL CONDITIONS (continued) N

12. NBT Aggregation (Continued)

c) Interconnection: (continued)

4) In the event there is a change of status that makes any of the meters or accounts listed in the NBT Aggregation Form ineligible to continue receiving service under NBT Aggregation, NBT Aggregation Customers shall notify the Utility within fifteen (15) days of such changes.

5) In the event a Rule 21 study is required, the processing of the request for interconnection may extend beyond the 30 working days typically required for net billing tariff interconnections.

6) The REGF shall comply with all of the Utility's tariffs, including but not limited to Rule 21, and any other regulations and laws governing the interconnection of the REGF.

d) Billing Provisions:

1) A one-time service establishment fee of $25 per Aggregated Account (capped at $500 per Aggregated Arrangement) and a monthly billing fee of $5 per Aggregated Account will be assessed to NBT Aggregation Customers receiving service under this SC. These interim billing service charges may be subject to change upon approval by the Commission on a going-forward basis.

2) The Net Billing Tariff Memorandum Account (NBTMA) will track billing-related costs in excess of the NBT Aggregation program costs listed in paragraph (e)(1) of this Special Condition.

3) All Aggregated Accounts in the Aggregated Arrangement must have the same Relevant Period.

4) Should a meter be added to an Aggregated Arrangement during a Relevant Period, the new meter will be charged the one-time service establishment fee and its Relevant Period will be adjusted so that it aligns with the Relevant Period of the existing Aggregated Accounts.

5) Should an Aggregated Account be removed from an Aggregated Arrangement during a Relevant Period, the Aggregated Arrangement will be adjusted.

6) All changes to an Aggregated Arrangement will become effective on the first regularly scheduled meter read date that is at least 15 days following the Utility's receipt of the request. N

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

SPECIAL CONDITIONS (continued) N

12. NBT Aggregation (Continued)

d) Billing Provisions: (continued)

7) The Utility shall provide the NBT Aggregation Customer with individual Aggregated Account consumption and allocated generation information with each regular monthly bill. The information shall include the current monetary balance owed to the Utility for the net energy consumed in the current Relevant Period.

8) All Aggregated Accounts in an Aggregated Arrangement must be receiving electricity commodity services from the same entity.

9) NBT Aggregation service is not permitted in combination with service provided under the Multiple Tariff Facilities provisions of this, or any other, net energy metering or net billing rate schedule.

10) Customers with an interconnection application date on or after February 15, 2024, shall take service on the retail import rates available under NEM-ST Aggregation during an interim period until NBT Aggregation billing is fully operational.

e) Billing Process:

1) The Utility will use the aggregated load for the purpose of determining whether an NBT Aggregation Customer is a net consumer or a net producer during the Relevant Period.

Load Aggregation Customers (for both Generating and Aggregated Accounts) will be billed based on no netting of imports (consumption) and exports (generation to the grid). Customers are billed based on their full usage from the grid. The generation (for both Generating Account and allocated generation for Aggregated Accounts) is valued the same as an NBT customer.

2) Energy Exported: If the Billing Account interconnection method is selected, the Energy Exported will be determined by the amount of excess generation that is exported to the grid, measured in kWh. If the NGOM interconnection method is selected, Energy Exported is the kWh recorded by the NGOM during the specific billing period.

Total Energy Delivered: If the Billing Account interconnection method is selected, the Total Energy Delivered will be determined by the amount of energy that is delivered by the utility, measured in kWh. If the NGOM interconnection method is selected, Total Energy Delivered is the kWh recorded by the NGOM during the specific billing period.

3) Allocation of Credit: The monthly allocation percentage of kWh will be based on the cumulative usage at each Aggregated Account compared with the total cumulative usage for all of the Aggregated Accounts and the cumulative generation from the Generating Account from the start of the Relevant Period. N

(Continued)

SCHEDULE NBT

NET BILLING TARIFF FOR CUSTOMER-SITED RENEWABLE DISTRIBUTED GENERATION

SPECIAL CONDITIONS (continued) N

12. NBT Aggregation (Continued)

e) Billing Process (continued)

4) Customer Bill: Credits applied to Aggregated Accounts will be based on the methodology set forth in paragraph (e)(3) of this SC. At the end of each billing period, remaining credits shall be carried over to the following billing period, until the end of the Relevant Period. NBT Aggregation Customers served under this SC are responsible for all charges from their OAS, including minimum charges, customer charges, basic service fees, meter charges, facilities charges, energy and demand charges, excluding any adjustments due to power factor provisions. Nonbypassable charges, as defined by this schedule, shall be billed monthly based on the total energy delivered by the Utility over the course of the Relevant period and cannot be offset by remaining generation credits.

5) NBT Aggregation Billing: At the end of each Relevant Period, the NBT Aggregation Customer shall be billed for net consumption during that period. If an NBT Aggregation Customer terminates service under this rate schedule prior to the end of a Relevant Period, the Utility shall reconcile the customer's consumption with any remaining credit, and bill to the customer as if it were the end of a Relevant Period.

a) Aggregation Customers (for both Generating and Aggregated Accounts) will be billed based on no netting of imports (consumption) and exports (generation to the grid). Customers are billed based on their full usage from the grid. The generation (for both Generating Account and allocated generation for Aggregated Accounts) is valued the same as an NBT customer.

b) For each monthly billing period, the dollar amount (based on the ACC) associated with the energy (kWh) exported to the grid (in kilowatt-hours or kWh) by the REGF shall be allocated to each of the Aggregated Account meters, as well as the Generating Account if it has load, based on the proportion of cumulative usage at each aggregated account, and the cumulative generation from the generating account from the start of the Relevant Period. N

13. Plug-in Electric Vehicle (PEV) Submetering P

Per Decision 22-08-024, customers participating in PEV Submetering, where electricity is furnished for PEV charging, are not eligible for Schedule NBT. P P

(Continued)